

Daily Multibagger Coverage Report — 2026-09-13

One stock picked at random, without repeats until each list cycles through, from four market-cap bands. **Nifty 50 is a reliable list; the Midcap 100 / Smallcap 250 / Microcap 250 lists are hand-curated representative samples, not a live scrape of the official NSE index membership** — those official sources were unreachable from this environment. Every figure below is tagged by the framework's own Tier 1-5 source hierarchy in the underlying dossier files (multibagger/sample_data/daily/*.json); most of today's figures are Tier 3 (aggregator-via-search) or Tier 5 (reconstructed/approximate), **not** Tier 1/2 verified. Treat this as a directional screen, not investment research.

Nifty 50 — Nestle India Limited (NESTLEIND.NS)

FMCG / Consumer Staples

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`` FINAL CALL: WATCH Compounder tier: WATCH Engine verdict: WEAK — consolidated gates passed [4 of 10] Return bridge (N1): 2.0x / 10yrs = 7.2% p.a. -> EPS CAGR 11.7% x re-rating -4.0% | earnings share 159.6% Engine growth (5e): ROIIC 27.3% x RR 19.8% = 5.4% vs 11.7% required revenue-driven CAGR — FAILS Moat class (5b): WIDE — MATM anchor applied 1.50x Runway/profit pool (6B): Implied profit-pool share at target 38.8% > 25% — RED Industry phase (6A): MATURE + share-flat — caps at Steady Compounder MQF governance: ACCEPTABLE (77.5/100) Price vs bridge: ABOVE Failed gates: Engine growth, Payout ceiling, Runway/profit pool, Industry phase, Variant perception, MQF governance ``
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Why: Real moat (Maggi/Nescafe/KitKat pricing power, scale cost advantage — both GREEN), but switching costs and network effects are honestly RED — packaged food has no lock-in. At ~70x trailing P/E on ~6% revenue growth, this is a heavily-covered "quality" stock, not a neglected one — no credible variant-perception case could be built, so N7 was left honestly unanswered (answered=false) rather than manufactured, which correctly caps the verdict at WATCH.

Data quality: Well-sourced (Tier 3, cross-validated): CY2022 and FY2025 revenue/PAT, promoter holding (62.76%, stable), current price/market cap, trailing P/E. Flagged Tier 5 (reconstructed, not gate-clearing): most of the balance-sheet series, and a real unresolved discrepancy — aggregator ROCE/ROE/D-E figures didn't reconcile with each other, so an internally-consistent balance sheet was built instead and the conflict disclosed rather than hidden.

Nifty Midcap 100 (sample) — Deepak Nitrite Limited (DEEPAKNTR.NS)

Materials / Specialty Chemicals

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`` FINAL CALL: WATCH Compounder tier: WATCH Engine verdict: WEAK — consolidated gates passed [4 of 10] Return bridge (N1): 3.0x / 5yrs = 24.6% p.a. -> EPS CAGR 28.0% x re-rating -2.7% | earnings share 112.5% Engine growth (5e): ROIIC -6.1% x RR 67.0% = -4.1% vs 26.1% required revenue-driven CAGR — FAILS Moat class (5b): WIDE — MATM anchor applied 1.50x Runway/profit pool (6B): Implied profit-pool share at target 40.0% > 25% — RED Industry phase (6A): MATURE + share-flat — caps at Steady Compounder MQF governance: ACCEPTABLE (79.0/100) Price vs bridge: ABOVE Failed gates: Engine growth, ROIIC floor, Runway/profit pool, Industry phase, Variant perception, MQF governance ``
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Why: Real backward-integration moat (captive phenol-acetone-IPA chain, new in-house fluorination/BTF block) rated BUILDING — but the dominant Phenolics segment (~69% of FY25 revenue) is a globally-traded commodity hit by well-documented Chinese dumping: EBITDA margin compressed from 23.5% to 14.1% and ROCE nearly halved (29-34% down to ~15.5%, continuing toward ~11% into FY26). The bear case looks basically correct on the evidence

gathered, so N7 was left unanswered rather than forced — a real, evidenced ROCE Decay flag also fired.

Data quality: Well-sourced (Tier 3): FY21/24/25 revenue, several years of PAT, current price/market cap/shares outstanding, promoter holding (49.33%, stable, 0% pledge, with a documented Feb-2025 open-market promoter purchase — a genuine Section 5f positive signal). Flagged Tier 5: most of the depreciation/interest/working-capital time series, sector median PE/PB, ADTV, bridge assumptions.

Nifty Smallcap 250 (sample) — Carborundum Universal Limited (CARBORUNIV.NS)

Industrials / Abrasives, Ceramics, Electrominerals (Murugappa Group)

`` FINAL CALL: AVOID Compounder tier: IGNORE Engine verdict: WEAK — consolidated gates passed [4 of 10] Return bridge (N1): 3.0x / 5yrs = 24.6% p.a. -> EPS CAGR 49.4% x re-rating -16.6% | earnings share 182.7% Engine growth (5e): ROIIC -6.8% x RR 35.0% = -2.4% vs 46.5% required revenue-driven CAGR — FAILS Moat class (5b): WIDE — MATM anchor applied 1.50x Runway/profit pool (6B): No addressable profit pool stated — cannot evidence gate Industry phase (6A): MATURE + share-flat — caps at Steady Compounder MQF governance: ACCEPTABLE (70.0/100) Price vs bridge: ABOVE Failed gates: Engine growth, ROIIC floor, Runway/profit pool, Industry phase, Promoter alignment, MQF governance ``

Why: Consolidated PAT fell Rs476Cr (FY24) -> Rs293Cr (FY25) -> Rs195Cr (FY26), but this is largely a non-core story: OFAC sanctioned the Russian subsidiary (Jan-2025) and loss-making German/South African units were wound down, while standalone (domestic) PAT actually grew ~29% with EBITDA margin recovering to 21.5%. A credible "market is overreacting to a one-off" variant-perception case was built (answered=true) — but the dossier is honest that this explains the *noise*, not necessarily undervaluation: the implied trailing P/E is still ~110x, richer than the peer range, and promoter holding has drifted down from ~42% to ~39% (an unexplained Section 5f flag).

Data quality: Well-sourced (Tier 3, cross-checked): consolidated revenue/PAT FY23-26, standalone FY26 PAT/margin, market cap/price, promoter holding trend, D/E (~0.08x, net cash), peer-average PE. Flagged Tier 5: FY21-22 backcast, most balance-sheet ratios, sector P/B, G-sec yield, ADTV.

Nifty Microcap 250 (sample) — South Indian Bank Limited (SOUTHBANK.NS)

Financials — Private Sector Bank (BFSI)

`` FINAL CALL: WATCH Compounder tier: WATCH Engine verdict: WEAK — consolidated gates passed [4 of 10] Return bridge (N1): 2.0x / 5yrs = 14.9% p.a. -> EPS CAGR 11.4% x re-rating 3.1% | earnings share 77.8% Engine growth (5e): ROIIC 425.9% x RR 1.8% = 7.5% vs 11.4% required revenue-driven CAGR — FAILS (see BFSI note) Moat class (5b): NARROW — MATM anchor applied 1.10x Runway/profit pool (6B): No addressable profit pool stated — not a scored concept for a lender Industry phase (6A): MATURE + share-flat — caps at Steady Compounder MQF governance: ACCEPTABLE (66.5/100) Price vs bridge: BELOW Failed gates: Engine growth, Moat trajectory, Runway/profit pool, Industry phase, Variant perception, MQF governance ``

Why: A genuine multi-year asset-quality turnaround — PAT rebounded from a near-zero Rs45Cr (FY22) to a record Rs1,455Cr (FY26), gross NPA fell from ~4.5% to ~1.4% — now trading near book (P/B ~1.06x, ROE ~12.75%). But the moat was rated skeptically on purpose (0 GREEN / 1 AMBER / 5 RED): a sub-scale, no-promoter bank with a weaker

cost-to-income ratio than large private peers has no durable structural edge. The turnaround has also been repeatedly covered in the financial press through FY26 as "highest-ever profit," so no credible case could be built that the market specifically has this wrong right now — N7 left honestly unanswered.

BFSI note (framework v2.2): Section 5e's ROIIC math (invested capital = net fixed assets + CWIP + working capital) doesn't describe a bank's balance sheet — it produced an implausible ~426% ROIIC here purely because a lender's fixed-asset base is tiny relative to earnings. This is a known, flagged artifact (see FRAMEWORK_v2.2's BFSI gap note), not a real signal, and doesn't change the outcome: this name still fails on moat, industry phase, and variant perception regardless.

Data quality: Well-sourced (Tier 3, cross-corroborated): PAT trend FY22-26, NPA trend, CAR, deposits/advances, CASA ratio, current price/market cap/book value, 0% promoter holding. Flagged Tier 5: most of the balance-sheet series (interpolated between real anchors), and institutional-holding figures were found materially inconsistent across sources and deliberately excluded rather than guessed.

Today's summary

Band	Stock	Engine verdict	Compounder tier	Final call
Nifty 50	Nestle India	WEAK	WATCH	WATCH
Midcap 100 (sample)	Deepak Nitrite	WEAK	WATCH	WATCH
Smallcap 250 (sample)	Carborundum Universal	WEAK	IGNORE	AVOID
Microcap 250 (sample)	South Indian Bank	WEAK	WATCH	WATCH

No BUY or ACCUMULATE today. Three of four failed on their own qualitative merits (no credible variant-perception case, not a data-availability artifact) — Nestle and Deepak Nitrite's researching agents explicitly declined to manufacture a bull case where the evidence pointed the other way, which is the framework's M3 edge-hypothesis rule working as intended, not a shortfall in coverage. All four also failed the Section 5e engine-growth gate, consistent with the cross-sector backtest's own headline finding (see FRAMEWORK_v2.2's validation appendix): this is the hardest gate in the suite to clear, by design.

Full dossiers with per-field source tiers:

`multibagger/sample_data/daily/{NESTLEIND, DEEPAKNTR, CARBORUNIV, SOUTHBANK}.json`.